

		“A party may amend its pleading once without leave of the court at any time before the answer, demurrer, or motion to strike is filed, or after a demurrer or motion to strike is filed but before the demurrer or motion to strike is heard if the amended pleading is filed and served no later than the date for filing an opposition to the demurrer or motion to strike.” (Code Civ. Proc., § 472, subd. (a).) Here, the last day to file an opposition to the demurrer and motion to strike was September 3, 2026. On September 2, 2026, Plaintiff Zachary McKay filed a First Amended Complaint. (ROA 41.) Given the above, the demurrer and motion to strike are OFF CALENDAR AS MOOT. Plaintiff to give notice.
10.	30-2026-01563392 Everon, LLC vs. Federal Technology Solutions, Inc	1. Case Management Conference 2. Motion-Other (for Order Declaring Rights to Withheld Funds Pursuant to Civil Code Section 9408) Plaintiff Everon, LLC’s (“Everon”) Motion for Determination of Rights Pursuant to Civil Code § 9408 is DENIED. Everon seeks an order pursuant to Civil Code section 9408 for a determination of rights of the parties following the service of a stop payment notice, affidavit, and counter-affidavit. More specifically, Everon seeks an order that funds withheld by Newport pursuant to a stop payment notice from Defendant Federal Technology Solutions, Inc. (“FTSI”) in the amount of \$429,367.06 be returned to Everon. Everon seeks relief pursuant subsections (c) and (d) of Section 9400, which provides that a direct contractor may obtain release of funds withheld pursuant to a stop payment notice under the summary proceeding provided by statute on any of the following grounds: (c) the amount of the claim stated in the stop payment notice is excessive (d) there is no basis for the claim stated in the stop payment notice (Civ. Code §9400.) At the hearing on a motion under this section, the direct contractor, in this case Everon, has the burden of proof. The Court finds that Everon has not met its burden with respect to subsection (d)—i.e., that there is <i>no</i> basis for the claim stated in the stop payment notice—because Everon only contends that part of the amount requested is improper. An amount that is too high is not considered <i>invalid</i>—the amount can be reduced. (<i>See, e.g., Basic Modular Facilities, Inc. v. Ehsanipour</i> (1999) 70 Cal.App.4th 1480, 1485 (trial court has authority to reduce an excessive lien to its proper amount; actual amount due presents a question of fact for the trial court).) Further, as to Everon’s claim that the amount stated in the stop payment notice is excessive, the Court is not persuaded by Everon’s evidence. The crux of the dispute is that Everon claims FTSI is improperly seeking payment for work that was included in its bid, but which FTSI now seeks a change work order for (i.e., payment beyond the amount set forth in the bid). FTSI denies that this work, which involved conduit installation, was part of its bid, as FTSI contends that the information

provided to FTSI to prepare its bid did not specify that FTSI was to install extensive conduit. FTSI also points out that its bid does not reference conduit.

To support its version of the events, Everon heavily relies on a sentence found in Paragraph 8 of FTSI's counter-affidavit. However, the sentence appears to contain a typographical error. It reads:

Conduit installation was included in FTSI's accepted bid or its contract with Everon.

It is clear to the Court, based on the grammatical structure of the sentence, that it was supposed to read "Conduit installation was not included in FTSI's accepted bid or its contract with Everon." Thus, the Court does not find this purported evidence of an admission persuasive.

Everon's argument that Newport already rejected FTSI's requests for change orders regarding conduit installation does not change the outcome. As explained in *Ted Jacob Engineering Group, Inc. v. The Ratcliff Architects*, cited by FTSI, a contractor faced with a substantial change in its originally contracted scope of work, who is unable to successfully negotiate a price for that additional work, may elect to continue to work and reserve its right to subsequently obtain a judicial determination as to the value of the changes. (*Ted Jacob Engineering Group, Inc. v. The Ratcliff Architects* (2010) 187 Cal.App.4th 945, 966.) The *Ted Jacob* court elaborated:

So long as the other contracting party continues to demand performance of the increased scope of work, and in the absence of any conflicting provision of the contract, the contractor may continue to work after unsuccessful negotiations and

subsequently recover the value of that work. To hold otherwise would compel a contractor to walk off the job in the face of what it believes to be major changes in the scope of work required of it, with significant consequences if its judgment is later proven wrong, or alternatively forfeit any right to seek compensation for that work, regardless of the extent of the additional burdens imposed.

(*Ibid.*)

Accordingly, the motion is **DENIED**.

Clerk to give notice.

11. 30-2026-01561514
**Karim vs. American
Tax Defense**

**1. Case Management Conference
2. Motion to Be Relieved as Counsel of Record**

The unopposed motion of attorney Arash S. Khosrowshahi, an attorney with Laurel Employment Law, APC, counsel of record for Plaintiff Sikandar Karim in this action, is **GRANTED**.

Service on the clients and on all other parties who have appeared in the case was proper and all required forms containing the requisite information were filed pursuant to California Rules of Court, rule 3.1362.

The order will take effect once moving attorney files proof of service of the signed order (MC-053) on the client.

* NOTE: The next hearings on this matter are Defendant's Demurrer to Complaint and Motion to Strike, and they are set for November 12, 2026 at 1:30 p.m. in Department C34.

Moving attorney to give notice.